

Digging in the Dirt

As the Government goes all out to clean Indian cricket, the I-T Department gets a clear brief to unearth all the murky deals

It can run but the Board of Control for Cricket in India (BCCI) can't hide from the Income Tax Department. Early on Wednesday, I-T officials zeroed in on the offices of Multi Screen Media (MSM), the company that owns Sony Entertainment Television in India, the World Sports Group (WSG), the residence of WSG chief Venu Nair, and the International Management Group (IMG). IMG is the company that organises IPL events while MSM has the IPL telecast rights in India and WSG won the worldwide telecast rights for nine years from the BCCI in March 2009. I-T sleuths also conducted surveys at the offices of Kings XI Punjab, Deccan Chargers, Kolkata Knight Riders and Chennai Super Kings to get the auction papers of 2008.

In 2008, the BCCI had sold the rights to WSG for \$918 million and an extra \$108 million for promotions, and WSG India in turn sold the Indian telecast rights to MSM for Rs 220 crore per season for five years. The BCCI in 2009 then sold the telecast rights for IPL-2 to WSG Mauritius for over Rs 335 crore per year, 50 per cent higher than its deal with Sony Max, a channel owned by MSM (formerly Sony Entertainment Television). The BCCI scrapped the contract with Sony Entertainment on March 14 and signed the new contract with WSG Mauritius at 3 a.m. on March 15. WSG Mauritius claims that it is not directly related to WSG India. MSM then dragged the BCCI to court. A couple of days later, however, the parties reached a settlement, with MSM agreeing to pay \$1.63 billion for nine years. In order to renew its telecast deal, it also had to pay a facilitation fee of \$80 million to WSG.

The I-T Department will now try to verify how MSM entered into an agreement with WSG Mauritius to pay a facilitation fee of 7.5 per cent of the IPL contract value. On April 14, 2009, MSM remitted \$15.3 million from the Development Bank of Singapore to WSG and \$10.276 million in two separate installments on June 26, 2009. The I-T Department views this as tax evasion worth almost Rs 120 crore. WSG India has issued a statement, saying that I-T officials visited its Mumbai office seeking information on matters concerning the BCCI and the IPL. The statement strongly refutes allegations of any impropriety.

by Malini Bhupta

changed to make Modi, who was by then already a district cricket association president from the state, the boss of BCCI, a post that ensured him a seat in BCCI, and soon he would be the vice-president of the board. In 2008, he realised his dream, and IPL, cashing in on a national obsession, became the biggest success story in Indian sporting history.

Armed with the twin titles of chairman and commissioner, Modi would grow larger than the institution he created. As the details of team ownerships were shrouded in secrecy and IPL's financial dealings centred around one omnipotent arbiter, questions were bound to be asked. Modi's style of func-

TV CREWS TRY TO GET A PIECE OF THE ACTION AT THE WSG OFFICE IN MUMBAI



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UNDER THE SCANNER

- FIPB clearance for investor Manoj Badale against issue of 32% stake
- FEMA provisions in foreign investments into Rajasthan Royals and two other IPL teams—Kings XI Punjab and Kolkata Knight Riders
- Facilitation fee agreement of \$80 million between WSG and Multi Screen Media
- Round-tripping through shell companies located in Virgin Islands, Mauritius and Dubai
- Transactions of Emerging Media, Tresco International Ltd, Blue Water Estate and Kuki Investments

tioning—that *apres moi le deluge* arrogance—only worsened the scenario. He excelled in flaunting his wealth, which allegedly originated from his proxy shares in certain teams and money laundering. He made no effort to clarify or keep his political benefactors in good humour. Well, he may still argue that he is born rich, that, as a top executive of the multi-crore family firm, he can afford a yacht and Challenger 300 private jet. Now, with missing auction papers and so many unanswered questions about the IPL economy, he will have to come out with a more convincing defence but none

Value of alleged benami holdings in three teams is \$42 mn